

INSTANT LESSONS IN

commerce

M. O'Brien and R. Pereira



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Instant Lessons in
Commerce
BOOK 2

R. Pereira and M. O'Brien



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Preface

The activities in this book examine a variety of topics taught within the subject of Commerce. In writing this book the authors have been conscious of the fact that the study of Commerce should reflect the changes that are occurring in society. As such, we have included lessons that will equip students with the essential knowledge and skills needed to participate as members of society.

Some activities can be used as introductory lessons to a topic, while others will be useful as revision lessons, or even testing material at the conclusion of a unit. The authors have endeavoured to include a range of activities, appealing to the need for students to be both analytical and creative. Each of the lessons has been tested in mixed-ability classes and has been successful in implementation. In general each lesson will take between 40 and 60 minutes.

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1 Business goals

A goal is something that a person, group or business hopes to achieve in the future. Within a business there are three types of goals: the personal goals of the owner, financial goals and social goals.

Owner's personal goals

A person who owns a business is called an owner. On a personal level, owners operate a business for two main reasons. First, independence allows them to make their own decisions rather than follow or carry out the decisions of another person. Second, as long as the decisions they make are wise, their job will be secure.

Financial goals

Financial goals relate directly to money. One financial goal is profit [Income – expenses = profit]. The main financial goal of businesses, other than non-profit organisations, is to make a profit. For a business to make a profit, generally it must increase sales and reduce expenses (sales earn a business income).

Another financial goal is business growth. If a business expands—for example, if a second or third store is opened—then more income will usually be earned.

A third financial goal is that of an increase in market share. Market share refers to the total sales (expressed as a percentage) a business has experienced in a given market. Most businesses will have an increase in market share as a financial goal because it directly relates to an increase in sales of a particular product. The final financial goal is return on investment. Return on investment refers to the expected percentage return that an investment will earn for the business. The larger the percentage, the more profitable the business.

Social goals

Social goals relate to the community. One such goal, sustainable ecological development, refers to the use of resources by businesses. This particular goal aims for the sensible use of resources by businesses so that there are enough resources for future generations of people to use. Another social goal is community service. For example, businesses have a role to play in sponsoring community events.

- 1 Cut out the above titles and notes and paste them in your book.
- 2 In pairs, read through the three general types of goals in Level 1 below. Cut out the three goals.

Level 1 — General goals

Owner's personal goals	Social goals	Financial goals
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- 3 Read through the nine specific goals in Level 2. Decide which of the general goals—owner's personal goals, financial goals or social goals—they belong to. Place them under the correct goal.

Level 2 — Specific goals

Business growth	Independence	Increase in market share
Job security	Community service	Return on investment
Profit	Increase in sales	Sustainable ecological development

- 4 Read through the nine examples listed in Level 3.

Level 3 — Examples

- a In selling more goods/services, a business gains a larger percentage of market share sales—for example, Bright Paint Shop has increased its sales, therefore obtaining a larger share of the market (total sales). It now has 30 per cent of all sales in the paint market.
- b Making more money—for example, Mega Music Store increased its profits from \$55 000 to \$80 000 per annum.
- c Sponsoring people/events in the community—for example, Hip, Groovy & Funky Board Riders sponsors a statewide skateboarding competition for under 15s.
- d Selling more goods/services—for example, Cakes Delight aims to increase the amount of cakes sold from 50 to 65 units a day.



- e Ensuring the proper management of resources in order to ensure enough for future generations—for example, Green Trees is a business which plants trees in areas that have undergone tree felling.
- f Knowing that a well run business will give a person a secure job—for example, Gerard has managed his business wisely. The business has been in operation for fifteen years.
- g Running a business individually or with other people allows you to make your own decisions—for example, Trang makes all the decisions regarding her bookshop by herself.
- h Deciding to expand the business—for example, Simone and Patrick decide to buy a second printing business.
- i Receiving money after having invested an initial amount of money—for example, buying shares in a public business and receiving a 10 per cent dividend [profit].

Decide which of the specific goals the examples belong to. Place them under the correct specific goal. For example, goal 3(c)—Hip, Groovy & Funky Board Riders sponsors a statewide skateboarding competition for under 15s—should look like this:

Level 1 Social goals

Level 2 Community service

Level 3 Sponsoring people/events in the community—Hip, Groovy & Funky Board Riders sponsors a statewide skateboarding competition for under 15s

- 5 Once you have decided on the correct answers, paste them into your book.

EXTENSION QUESTIONS

- 6 Suggest three strategies (actions) a business owner could implement (put into action) that would reduce costs and therefore increase profits.

- 7 a List the names of three businesses and the community events that they sponsor.

- b Do you think that businesses should be concerned with social goals?

- c How do the businesses that sponsor community events benefit from doing so?

- 8 Non-profit organisations such as the Red Cross and the St Vincent de Paul Society do not aim to make a profit. Is there still a need for non-profit organisations in the 21st century? Support your answer with examples.

2 Costs of running a business



The word 'cost' means how much money is required to pay for something. People encounter costs on a daily basis—for example, purchasing a bus ticket, a can of softdrink or a magazine. Just as people have a set amount of money to spend, so too do businesses.

Businesses [except for non-profit organisations] have financial goals of profit. Therefore, to increase their profit, businesses must consider costs from day to day.

There are two types of costs: fixed and variable. Fixed costs stay the same over a given period of time—for example, rent, insurance and wages. Rent is the money a business owner pays for leasing a premise in which the business is operating. For example, a business owner may pay \$800 rent every fortnight for leasing a premise.

Variable costs, on the other hand, change over a period of time. Examples of variable costs include electricity, transport and telephone. A retail business would spend more per fortnight on electricity in winter, heating the shop, than it would in spring. Other examples of variable costs include promotion and transportation.

To calculate whether a business has made a profit the following formula is used:

The costs I have to pay this week include: rent, insurance, wages, purchasing stock, electricity! How will I meet all these costs!?!?



$$\text{PROFIT} = \text{INCOME} - \text{COSTS (FIXED + VARIABLE)}$$

A business that keeps a record of its costs is more likely to succeed than a business that does not. If a business does not keep a close eye on its costs over an extended period of time, bankruptcy could result. Bankruptcy involves a business ceasing to trade as a result of being unable to meet its debts of \$1500 or more. The person(s) who ran the business cannot legally run a business for the next three years.

1 Define the following terms:

- a costs _____
- b variable costs _____
- c fixed costs _____

2 List three examples of both fixed and variable costs. _____

3 What is the formula for calculating profit? _____

4 Calculate the total costs and profits of running the following businesses (show your working out in your book):

- a Business 1: Fabio's Video Fun Arcade earns \$4570 a week. Fabio has calculated that he has the following costs per week: rent (fixed \$300), wages (fixed \$1500), stock (variable \$0), insurance (fixed \$390) and electricity (variable \$275).
- b Business 2: webdesign.com.au is a newly established computer company which designs web pages for other businesses. Three teenagers—Theresa, Miguel and Jacinta—all of whom have specialist skills in computers, run the business. As a business, they earn \$500 a week. They run their business from Miguel's house and are saving their money to upgrade their computers. They have calculated that they have the following costs per week: rent (\$0), wages (\$0), stock (\$0), insurance (fixed \$80) and electricity (\$0).

5 Suggest a reason for the difference in costs between Fabio's Video Fun Arcade and webdesign.com.au.

EXTENSION QUESTIONS

'As of 1 July, 2000 businesses with a turnover (sales) of more than \$50 000 must have an ABN. This requirement of the new tax system will mean that businesses are able to pay the correct amount of tax and receive GST refunds.'

- 6 a What do the letters ABN stand for? _____
- b How much does it cost to apply for an ABN? _____
- 7 With which government organisation did businesses have to register for an ABN? _____
- 8 Explain the relationship between the ABN and the GST in relation to tax credits. _____



3 Design your own business card

In business, people are always dealing with other people in order to sell a product (good or service). If you were a businessperson, you would probably have a business card. A business card is a small piece of paper showing information such as the following:

- * the business name: which in most cases specifies the product (good or service) that the business provides
- * how the business can be contacted: address, phone number, fax number, email address
- * business logo: a symbol that represents the business or the product that it provides to the consumer
- * owner's/employer's name: the name of the person who issues the business card
- * occupation: the job that the person does

Business cards, similar to the example below, are important for people when they are dealing with others because they provide essential information at a glance. The card is also small enough to be stored easily. Most people keep them in their wallets for convenience.



- 1 It is important that you remember what information should be included on business cards. State whether the following statements are true or false.
 - a _____: A business card provides information about a person's place of employment and the product sold.
 - b _____: A business card does not provide information at a glance.
 - c _____: People involved in business often give business cards to others so they can be contacted easily.
 - d _____: A business logo is a symbol that represents the business.
 - e _____: A person can only have a business card if they own the business.
- 2 In the space provided, design two business cards. Remember to include all the relevant information and to design a business logo. You can use a software program, such as **Microsoft Publisher™**, if you like.
 - a Business card 1 is for a Grant Sparkes, a sales representative for an ecommerce company. The business is called 'ecommerce.com.au' and it is located at 123 York Street, Sydney. Other contact addresses include: phone numbers [9334 7825, 9334 8945], fax [9334 7852] and email [sparkes@ecommerce.com.au].



- b Business card 2 is for _____ [insert your own name], a music storeowner. The business's name is 'Funky Music Store' and is located at 89 Silver Street, _____ [insert your own suburb]. Other contact addresses include: phone number [8564 1000], fax [4567 5621] and email [monfunkymusic@loudest.com.au].

- 3 The information listed on a business card ensures that potential clients are able to contact businesses quickly and easily. What other methods of communication are used by businesses to ensure they are accessible? [Consider both personal communication and the need for the business to communicate with the wider market.]
- 4 Once you have created a list of different communication methods, consider the advantages and disadvantages of each form. For example, email allows for quick correspondence, however it may be affected by technical difficulties or may be expensive for a business to maintain. Use the table below to summarise your findings, the first one has been done for you.

COMMUNICATION METHOD	ADVANTAGES	DISADVANTAGES
Email	Fast correspondence. Minimises the need to make long phone calls.	Technical problems may impede delivery of information, expensive to maintain.

- 5 Employees of business have certain responsibilities when using different forms of communication. Using the list you created in question 3 outline the responsibilities that might be associated with each form of communication.

EXTENSION ACTIVITY

- 6 Ethics in business concerns behaving in an appropriate manner and doing the right thing. Consider the following case studies. What problems do you see arising from the misuse of technology in these cases? What do you think the boss should do in each circumstance?
- a Katy works for a clothing company as a sales representative. She is often out on the road, or on long business trips and, as a result, her company has given her a mobile phone to ensure she is easily contactable. Katy has given out her mobile number to her friends and often takes calls during the business day, and makes many private calls on weekends.
- b Demelza works for a computer company. Each person in the company has an email address and access to the Internet. Sometimes, when Demelza is bored, she will surf the Net and send out jokes to friends in other businesses.



4 Exporting

Business operates on a global scale. The introduction of new technology and the advancements in transportation allow Australia to deal with other countries more efficiently. Operating on a global scale allows Australia to export and import a greater variety of goods and services.

Exporting refers to the process whereby a country sells goods and services to another country. For example, when Australia sells meat to Japan, Australia is said to be exporting meat.

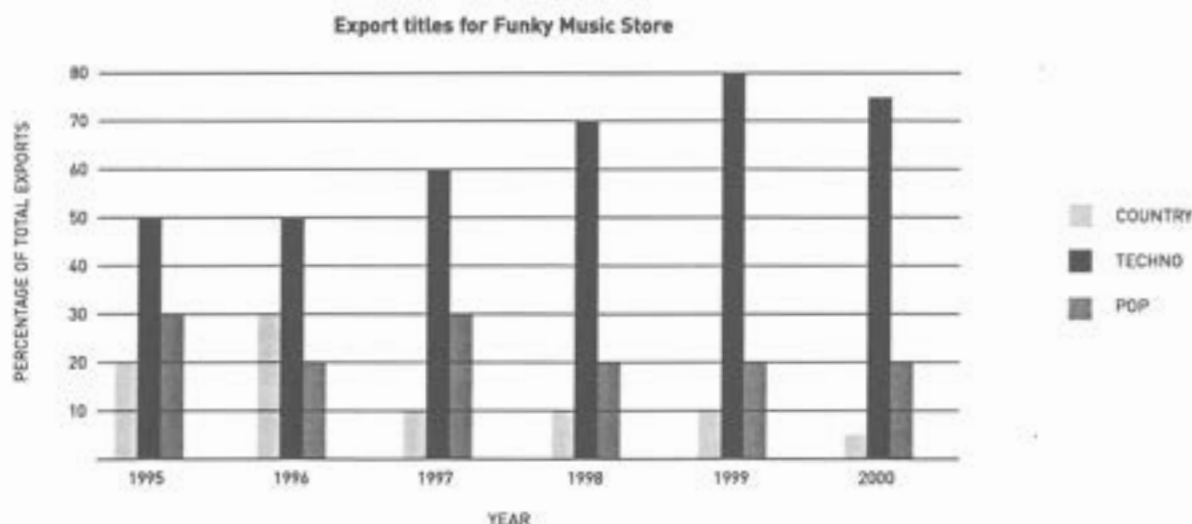
Australia trades with many foreign countries. During the 1930s, Australia's traditional connection was with Europe. In particular, Australia had a close trading partnership with the United Kingdom, Germany and France. These three countries comprised close to 60 per cent of Australia's exports.

In recent decades, Australia has forged a trading relationship with Asia-Pacific countries. Countries of the Asia-Pacific region include Indonesia, Malaysia, Singapore, Japan and Thailand. As a direct result, in 1996–97, trade with the European countries mentioned above only accounted for 7 per cent of Australia's exports.

Trade with Japan, particularly in the 1980s and 1990s, was of major financial importance to Australia. In 1991–92 exports to Japan were at their highest, representing 25 per cent of Australia's total exports. In 1996–97 they slipped to 18 per cent.

ACTIVITY 1

Funky Music Store exports CDs to Japan. Use the graph as well as your knowledge to answer the following questions.



- 1 Define the word 'export'. _____
- 2 List the three types of music that Funky Music Store exports. _____
- 3 Which music type's exports decreased from 30 per cent in 1995 to 20 per cent in 1996? _____
- 4 Which music type's exports increased from 70 per cent in 1998 to 80 per cent in 1999? _____
- 5 Which music type's exports were the lowest of total exports in 2000? _____
- 6 Which music type has the largest percentage of total exports for Funky Music Store for the years 1995–2000? Support your answer with the total percentages of exports for each year. _____
- 7 a Which music types remained at a constant percentage of exports for three consecutive years? _____
b Provide the percentage of total exports for each music type. _____
- 8 Calculate the percentage change in total exports (1999–2000) for:
a country _____
b techno _____
c pop _____



- 9 Imagine that Funky Music Store is not performing well and, as a result, is losing money. Suggest a possible way to reduce costs, based on the performance of selling CDs. Provide statistics to support your answer

ACTIVITY 2

As a business consultant it is your job to advise clients on business matters. You have just received an email from Van Nguyen, asking for advice on expanding their operations overseas to include exporting.

Date: 17th April 2001

From: electronicenterprises@hipmail.com.au

To: busconsult@farscape.com.au

Subject: Business expansion - exporting

Dear Kathleen,

My name is Van Nguyen and I am the owner of Electronic Enterprises. My electronics business has been in operation for the last ten years and I am considering exporting my electronic personal diary organisers (with Internet access) to the Asia-Pacific Region. I am e-mailing you to arrange a meeting to discuss the possibility of exporting my product. I am particularly concerned about issues relating to management skills, finance and marketing.

Could you please e-mail me as to your availability to arrange a consultation so as we can discuss these concerns?

Van Nguyen

As a business consultant, you need to explain several factors to Van Nguyen before he begins to export overseas. The main points you would like to raise in your meeting with Van are listed below. Under each of the main points write notes on how you can facilitate Van's implementation of these management techniques.

- 1 Make sure that the business manager has appropriate management skills.
- 2 Make sure that market research is conducted to determine if there are any other businesses providing the same product but at a cheaper price.
- 3 Make sure that the business will have enough funds to finance their operation.
- 4 Make sure that the employees are multi-skilled (capable of doing several tasks) and are constantly trained in new technologies.



ACTIVITY 3

The following table lists the countries to which Australia exports and their percentage of total exports. The percentages have been rounded to one decimal place.

COUNTRY	1996–97 (percentage of total exports)	1991–92 (percentage of total exports)
China	3.8	2.4
Germany	1.6	2.2
Hong Kong	4.1	3.9
Indonesia	4.1	2.9
Japan	18.2	24.9
Korea	7.9	5.2
Malaysia	3.0	2.3
New Zealand	7.4	5.7
Singapore	4.6	5.4
Taiwan	4.0	4.0
Thailand	2.1	1.5
United Kingdom	4.4	5.5
USA	8.3	10.4
All others	26.5	23.9
TOTAL MONETARY VALUE	\$105 318 million	\$69 993 million

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- Keeping in mind that the percentages have been rounded to one decimal place, calculate the approximate amount spent on purchasing Australian exports for the following countries (1996–97):
 - New Zealand _____
 - Singapore _____
 - UK _____
 - Japan _____
 - Korea _____
- According to percentages, rank the five largest trading partners in relation to Australian exports (except 'All others') in descending order for 1991–92 and 1996–97. _____
- Which trading partner had the largest percentage decline of exports over the five-year period? Provide statistics to support your answer. _____
- Which trading partner had the largest percentage increase of exports over the five-year period? Provide statistics to support your answer. _____
- Which trading partner over the five-year trading period had no change in its percentage of exports? Provide statistics to support your answer. _____
- Suggest a reason for the change in total value of exports for Australia in 1991–92 and 1996–97. _____



5 Stakeholders in a business

A stakeholder is any person or group that has an interest in the operation of a business. A stakeholder has an interest in the business because they are somehow affected by the way it is run. A stakeholder is different to a shareholder because a shareholder is a person or business that owns shares in a business. You must remember, however, that a stakeholder can be from the internal or external business environment.

Internal business environment



The internal business environment includes all groups directly under the control of a business. Examples of internal stakeholders include the employer and the employees.

External business environment

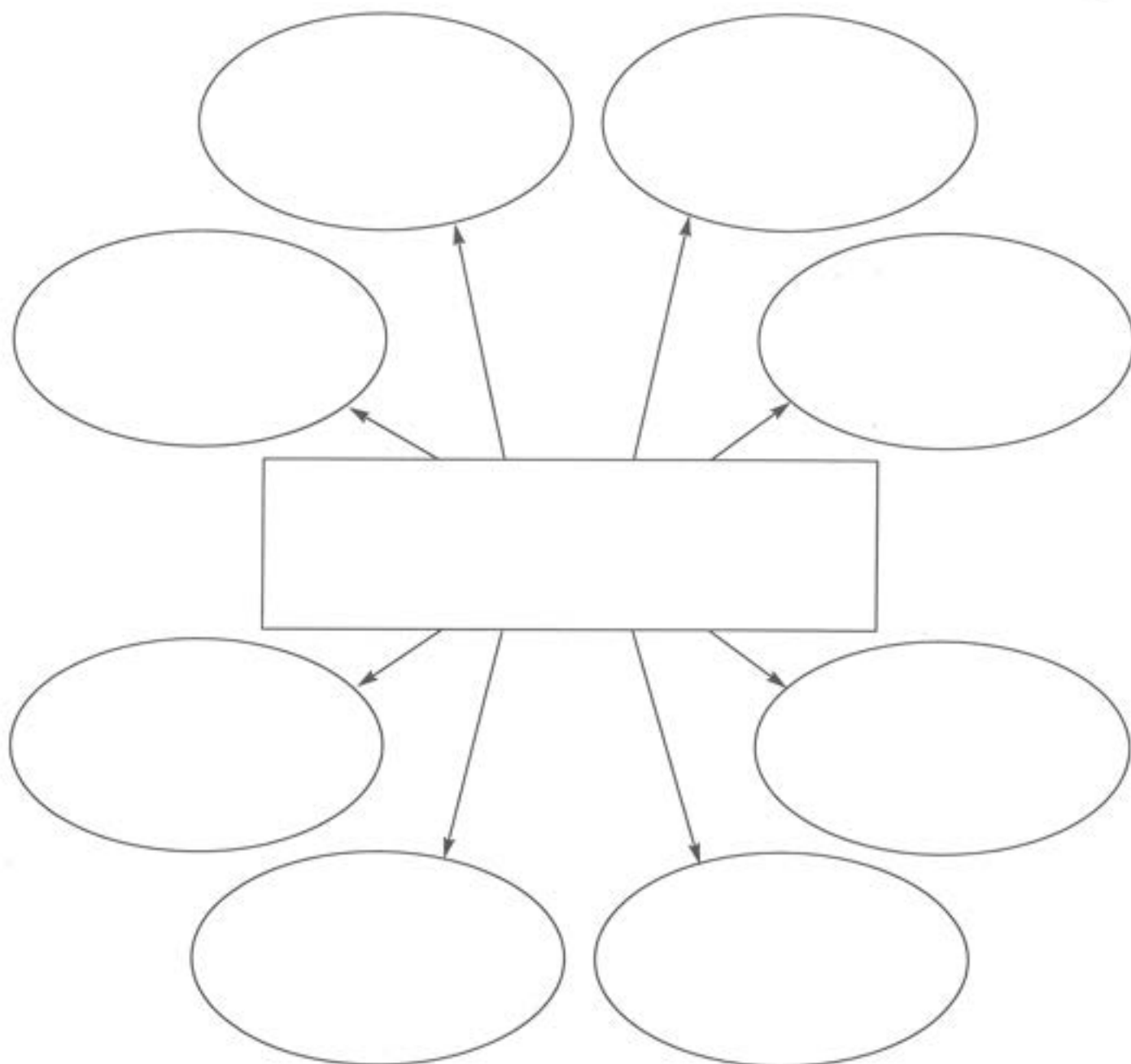


The external business environment includes all groups not directly under the control of a business. Some examples include customers, creditors (people to whom the business owes money), suppliers (supply the business with materials), government, the general community and the environment.

A mind map helps you to create a visual map of your ideas. More importantly, it makes learning and revision easier.

- 1 Place the word 'Stakeholders' in the rectangle on the mind map on the next page.
- 2 Using a red pen, place the internal stakeholders (employees and employers) in the circles on the mind map.
- 3 Using a black pen, place the external stakeholders (environment, customers, community, suppliers, government and creditors) in the circles on the mind map.
- 4 Place the following points around the correct stakeholder. Use lines to extend the mind map. Add any other ideas or examples relating to stakeholders that you might have.

- * continuation of employment
- * people to whom the business owes money
- * ensuring that the business abides by laws
- * business continues so another business can provide necessary materials
- * payment in the form of wages and salaries
- * profitability of the business so owners receive a return on their investment
- * impact of business activity on the natural environment
- * reasonable prices for goods and services
- * business supporting community events
- * business pays its bills on time for using the services of another business
- * ensuring that the business pays taxes
- * noise, air and visual pollution
- * quality made goods and services



EXTENSION QUESTIONS

- 5 A mining business wants to expand its operations within Australia. Explain why the mining business must consider the following stakeholders when conducting future business activities.
- a government
 - b future generations
 - c shareholders
 - d environment
- 6 Is there a conflict of interest between certain stakeholders? Explain the possible conflict of interest a mining business might have between shareholders and the environment.

6 Types of business organisations



Businesses have different legal structures. A business must be registered as an operation in order for it to be considered legal. The stage of growth the business is in is reflected in its legal structure.

ACTIVITY 1

Research the following types of legal business structures. From the list, choose the correct legal structure for each of the following 'What am I?' descriptions.

private company (Pty Ltd)
non-profit organisation

public company (Ltd)
sole trader

partnership
co-operative

1 What am I?

I am a business that is owned and run by one person. Many people choose me as a legal structure because I do not require a large amount of capital (money invested into a business) and am therefore inexpensive to establish. People also like the idea that I only require one person to make the decisions for the business. One of my main disadvantages is that I have unlimited (no limits) liability (responsibility). It must be remembered that my owner will be totally responsible for any financial trouble. Also, I am usually limited in the amount of money that is needed for expansion.

I am a _____.

2 What am I?

I can be owned by two to twenty people. I am a common form of legal structure because I am relatively easy to establish. I require that my owners put in capital, usually of equal amounts. People like me because the running of the business is shared among the owners. Disadvantages include my profit being shared with all partners, unlimited liability and conflicts occurring over how I should be run.

I am a _____.

3 What am I?

I am established for the benefit of my members. An example of such a legal structure is a group of people forming a legal structure because of a common interest in cars and the provision of a car breakdown service. My profits are shared equally among my members.

I am a _____.

4 What am I?

I can have anything from two to 50 owners. I have the term 'Pty Ltd' (Proprietary Limited) after my business name, which means that my owners have been privately invited to invest their money. Many people choose me because I have limited liability and also because more people are available to invest capital. My disadvantages include being expensive to run, having a large number of people making decisions and having to abide by many laws.

I am a _____.

5 What am I?

I must have a minimum of five owners; however, there is no maximum limit. I am divided among shareholders who invest their money in me. Owners must buy shares through the stock exchange. Any profit (called dividends) that I make is divided among my shareholders. I raise extra capital by issuing shares. The managerial responsibility is left to a few people. I have limited liability. Some people do not like my legal structure because they do not have a say in the day-to-day running of the business. I have the term 'Ltd' after my name.

I am a _____.





ACTIVITY 2

Unjumble the following words. Match them with the correct meanings below.

itpacla ivdddeni	eerosdtarl onepaxisn	gestexocknach nnvtegoerm	aitilbiyl riepecmotavnyap	rnraepihpst ehrsordlhea
---------------------	-------------------------	-----------------------------	------------------------------	----------------------------

- _____ : money invested into a business
- _____ : a body that makes laws by which businesses must abide
- _____ : two to 20 owners run the business
- _____ : when a business requires extra money to grow
- _____ : responsibility for all financial affairs, including debt
- _____ : a business where people are privately invited to buy shares (two words)
- _____ : one person owns and runs the business (two words)
- _____ : person who owns shares in a business
- _____ : a place where public shares are bought and sold (two words)
- _____ : profit as a result of investing in a public company

ACTIVITY 3

Read the following statements. Decide whether they are true or false.

- _____ : A sole trader has one owner.
- _____ : Unlimited responsibility refers to owners accepting all financial responsibility.
- _____ : Capital is another word for profit.
- _____ : Expansion requires extra capital.
- _____ : A co-operative is established for the benefit of its members.

ACTIVITY 4

Complete two advantages and disadvantages for the following business structures.

LEGAL STRUCTURE	ADVANTAGES	DISADVANTAGES
1. Sole Trader		
2. Partnership		
3. Public Company		
4. Private Company		

EXTENSION QUESTIONS

- If you were starting a new business from home, which legal structure would you choose to start the business? Explain your choice. _____
- If the same business wanted to expand, which involves raising more capital, which legal structure would you next consider? Explain your choice. _____
- Your answers to questions 1 and 2 should have involved unlimited liability. In relation to debt, what does unlimited liability mean for the owner[s]? _____



7 GST

What is tax?

Taxation, or tax as it is commonly known, is a voluntary contribution by income earners to the government. People paying tax to the government allow for the upkeep of infrastructure for the general population. Examples of infrastructure include public roads, hospitals, schools and the police. The three overriding principles of a tax system should be that it is simple, fair and neutral.

History behind the GST

The letters GST stand for 'goods and services tax'. The GST is a new tax that was introduced in Australia by the Liberal Government, under the leadership of Prime Minister John Howard, in 2000. The Liberal-National Party Coalition won the 1999 federal election with an election platform that featured the GST. Since the majority of the Australian population voted for the Coalition, they also voted for the GST.

Before the GST became law, there was a lot of debate in parliament and in the media over the finer details of the new tax, particularly over the issue of whether to tax fresh food. The Liberal Party negotiated with the Democrats, led by Senator Meg Lees, in order to gain enough votes to ensure the Bill passed through the Senate.

What is the GST?

The GST is a broad-based tax of 10 per cent on most goods and services. It was introduced in Australia on 1 July 2000. Everyone is subject to the GST, because it is included in the prices of most goods and services. The GST replaced the Wholesale Sales Tax (sales tax) as the major indirect tax. Sales tax is a tax on the wholesale price of an item. Sales tax was imposed only on the sale of goods whereas the GST applies to both goods and services. The Federal Government implemented the new tax in order to increase the 'base' upon which revenue could be raised and to reduce the opportunities for people to avoid paying the correct amount of income tax. The Federal Government made a concession for the GST by reducing personal income tax. At the same time, family assistance, pensions and allowances were increased.

What items are GST-free?

The following items do not have GST included in their price: basic food, eligible childcare, water and sewerage rates, education, most health services and products, hospital and nursing home services, and local government rates.

Food and the GST

GST does not increase the price of basic food, the general rule being that fresh or unprocessed food is exempt from the GST. Replacing sales tax with a 10 per cent GST has meant that the prices of some food items have decreased. Some prices have risen—for example, takeaway meals and restaurant meals.

The following table shows food that is GST-free and food that has GST included in its price.

FOOD THAT IS GST-FREE	FOOD THAT HAS GST INCLUDED IN ITS PRICE
Meat	Popcorn*
Eggs	Softdrinks*
Breakfast cereals	Donuts, tarts, pastries
Cake mixes	Frozen yogurt
Bread (without sweet filling or coating)	Flavoured milk*
Fruit (fresh, dried, frozen and canned)	Cordial*
Infant and invalid formula	Hotdogs
Soup (tinned, dried and prepared)	Hamburgers, chicken burgers
Chicken (raw, frozen and cooked but sold cold)	Chocolate*
Sauces, gravy mixes, condiments	Lollies*
Cold meats, bacon, smallgoods	Bread and buns with sweet filling or coating
Tea, coffee, malt preparations	Prepared sandwiches
Fresh fish, seafood	Ice cream*
Milk (not including flavoured milk)	Chips and crisps*

* indicates that the item was previously subjected to sales tax and has decreased in price with the implementation of the GST.



Who monitors the prices of goods and services?

The Australian Competition and Consumer Commission (ACCC) monitors the prices of goods and services. The Commission plays an important role in relation to the GST in Australia. Its role is to make sure that prices have been adjusted correctly and that consumers benefit from the new indirect tax changes. For this reason the ACCC is referred to as the 'consumer watchdog'.

ACTIVITY 1

Read the following statements and decide whether they are true or false.

- 1 _____: Tax is the main form of revenue for governments.
- 2 _____: The GST is a new Australian tax.
- 3 _____: The GST is charged at 22 per cent of most goods and services.
- 4 _____: The GST has replaced personal income tax.
- 5 _____: The GST is a direct tax.

ACTIVITY 2

Write the following headings in your notebooks, leaving space below each one. Then read the following questions and write the answers under the correct headings in your notebooks. This will enable you to create a summary of main points.

Taxation History behind the GST GST facts GST-free items GST and food The role of the ACCC

- 1 What is tax? Why does the government impose tax on income earners? _____
- 2 List five food items that are GST-free. _____
- 3 Explain why certain items—for example, lollies, hotdogs and chocolate—have GST included in their price.

- 4 Name the organisation whose role it is to monitor the implementation and progress of the GST. _____
- 5 Explain why this organisation has the nickname 'consumer watchdog'. _____
- 6 What do the letters 'GST' stand for? _____
- 7 Name the political party that became involved in negotiations with the Federal Government regarding GST and basic foods and services. _____
- 8 On which date was the GST introduced in Australia? _____
- 9 Name the tax that the GST has replaced. _____
- 10 Name the political party that was responsible for implementing the GST in Australia. _____
- 11 Suggest one reason why the Federal Government of the day introduced the GST. _____
- 12 State one strategy (action) of the Federal Government to ease the impact of the GST on:
 - a income earners _____
 - b pensioners _____
- 13 At what percentage was the GST introduced in Australia? _____
- 14 List the three main principles of a taxation system. _____

EXTENSION QUESTIONS

- 15 What do you think 'increasing the base' means?
- 16 What do you think is meant by a taxation system which aims to be 'simple, fair and neutral'?



8 Buying an established business

This worksheet involves using the business section of a newspaper.

ACTIVITY 1

It is essential that you understand the language of business before you decide to purchase an already established one. Therefore, before you decide to purchase your business, look through the business section of a newspaper and write down any **abbreviations** that you do not understand. Try to work out what they stand for. For example, K stands for thousand (in dollars).

ACTIVITY 2

From the newspaper choose **three types** of business, such as newsagencies, cafés and restaurants. Write your chosen three business types as headings in your book. For each of your three chosen business types, answer the following questions:

- 1 How many businesses are for sale in the category that you have researched? _____
- 2 Where are these businesses located? Are they in different suburbs? _____
- 3 Is there a difference in the selling price of businesses in the same category? If so, list prices to justify your answer.

- 4 Suggest reasons why businesses in the same category might be selling at different prices. (Hint: Location and sales.)

ACTIVITY 3

Imagine that you could purchase one of the businesses that you have been reading about in the newspaper. Choose **one** of the business types that you have read about. Cut out the advertisement and paste it into your book, then answer the following questions in relation to your chosen business.

- 1 State the name and location of the business. _____
- 2 What is the selling price for the business? _____
- 3 List two reasons why you chose to purchase this particular business instead of other businesses listed in the newspaper.

- 4 As a soon-to-be owner of your chosen business, what five questions would you need to ask before purchasing the established business?



9 Australian polymer currency research task



ACTIVITY 1

Polymer is a compound like plastic. Research Australian polymer currency then, in the spaces provided, write down the correct money.

1 What am I?

I am the smallest of Australian notes (both in size and value). I was released in plastic form in 1992, but my design has since been changed because I was experiencing problems with my security features. I was recoloured in 1995. My theme is Australian governing powers. My front features Queen Elizabeth II, and on my reverse side I have a picture of the Old and New Parliament Houses in Canberra. Bruce Stewart designed me. I am mauve and pink in colour. In 2001 a new note was released to circulate alongside me as part of the Centenary of Federation celebrations. It features Sir Henry Parkes, 'Father of Federation', on the front, and Catherine Helen Spence, the first woman to stand for election to public office in Australia on the back.

I am _____.

2 What am I?

I was the last plastic Australian note to be introduced [1996]. My theme is Australians' achievements. On my front is a picture of Dame Nellie Melba [1861–1931]. Melba was a world famous soprano [opera singer]. She adopted her 'stage' last name 'Melba' because it was an abbreviation of her birth place—Melbourne. During World War I, Melba lived in Australia. It was during this period of time that she worked to raise money for war charities. On my reverse side is a picture of Sir John Monash [1865–1931]. Monash was a politician, administrator and engineer. He studied engineering and law at the University of Melbourne. During World War I, Monash was made commander of the 4th Infantry Brigade of the Australian Imperial Force. In the 1920s Monash represented returned soldiers. Bruce Stewart designed me. I am green and yellow in colour.

I am _____.

3 What am I?

I was introduced in plastic form in 1993. My theme is Australian writers. On my front is a picture of A.B. 'Banjo' Paterson [1864–1941]. Paterson was a poet, ballad writer, journalist and horseman. Paterson is remembered for composing the song 'Waltzing Matilda' but he is best known as the author of the book *The Man from Snowy River and Other Verse*. On my reverse side is a picture of Dame Mary Gilmore [1865–1962]. Gilmore was an author, journalist, poet and tireless campaigner against injustice and deprivation. She wrote under a pseudonym while a teacher so that her work could be published. Gilmore also believed in social justice and worked for the relief of the poor and the just treatment of Aborigines. Max Robinson designed me. I am blue, green and yellow in colour.

I am _____.

4 What am I?

I was introduced in plastic form in 1994. My theme is Australian pioneers. On my front is a picture of Mary Reibey [1777–1855]. Reibey was a pioneer businesswoman with interests in shipping and property. After the death of her husband in 1811, Reibey ran several business interests. On my reverse side is a picture of Reverend John Flynn [1880–1951]. Flynn pioneered the world's first aerial medical service, which began operation in 1934. Today, the organisation is known as the Royal Flying Doctor Service of Australia. Garry Emery designed me. I am red, orange and black in colour.

I am _____.

5 What am I?

I was introduced in 1995, the third Australian plastic note. My theme is Australians' achievements. On my front is a picture of David Unaipon [1872–1967], an Aboriginal inventor, preacher and author. Unaipon invented a multi-radial wheel and a centrifugal motor, but lack of funds prevented these inventions from being produced for commercial sale. Unaipon's article 'Aborigines: Their tradition and customs' was the first Aboriginal article to be published. On my reverse side is a picture of Edith Cowan [1861–1932]. Cowan worked tirelessly as a social worker, politician and feminist. She was the first woman member of an Australian parliament. Brian Sadgrove designed me. I am yellow and blue in colour.

I am _____.

Source: Reserve Bank of Australia's website, <http://www.rba.gov.au>, 20 May 2000.



ACTIVITY 2

Once you have completed your research into Australian polymer currency, complete the following table.

CURRENCY	YEAR POLYMER NOTE WAS INTRODUCED	SUGGESTED REASON FOR CHANGE	COLOUR	DESIGNER	GENERAL THEME OF CURRENCY	PERSON(S), ANIMAL OR OBJECT FEATURED AND REASON WHY THEY WERE FEATURED
\$5						
\$10						
\$20						
\$50						
\$100						



10 Automatic teller machines

Introduced in Australia in 1981, automatic teller machines [ATMs] are a very common sight these days: outside banks, in nearly every suburb and shopping centre, and even in petrol stations.

ATMs are a modern convenience for busy people, who can now access their money electronically outside the traditional banking hours [9 am–4 pm, Monday to Friday].



An ATM allows consumers to undertake many operations including withdrawing money, transferring money from one account to another, and finding out the balance of an account.

Can you think of what an account holder needs to operate an ATM?

If you suggested a PIN (Personal Identification Number) and a plastic card, then you were right.

A PIN is a numerical code [although sometimes words are used as substitutes for numbers] that allows the account holder to access money in a specific account. It is very important to keep the PIN to themselves because it allows access to their account and therefore their money.

If the PIN is used incorrectly more than three times, the ATM will not return the card. This is to prevent an unauthorised person from trying to gain access to another person's account. If a person loses their ATM card they should report it to their bank immediately.



The bank will then proceed with a security check and issue a new card [generally within seven days].

Once the consumer has withdrawn money from an ATM, they can choose whether to receive a transaction record (or slip). The slip of paper has the following details printed on it: the account number, date of transaction, time of transaction, type and amount of transaction, and available balance.

The consumer should keep all transaction slips so they can check each ATM transaction against the next bank statement.

ACTIVITY 1

Jonathon wants to buy a birthday present for his sister, Carmel. He has decided to withdraw \$100 from his savings account. Jonathon will need to follow a series of steps in order to access his money via an ATM. Listed below is a series of steps, but they are in the wrong order. Use the above information and your general knowledge to decide on the correct order of steps that Jonathon needs to follow to access his money via an ATM. Fill in the information in the flow diagram on the next page.

Adjust the viewing position up or down to see the instructions.

Insert your plastic card in the slot labelled **insert ATM Card**.

Wait for approximately 30 seconds and your plastic card will reappear, followed by the requested cash and receipt [place plastic card, cash and receipt in your wallet].

Press the instruction buttons **withdraw cash**, from **savings account** and enter the amount of **\$100**.

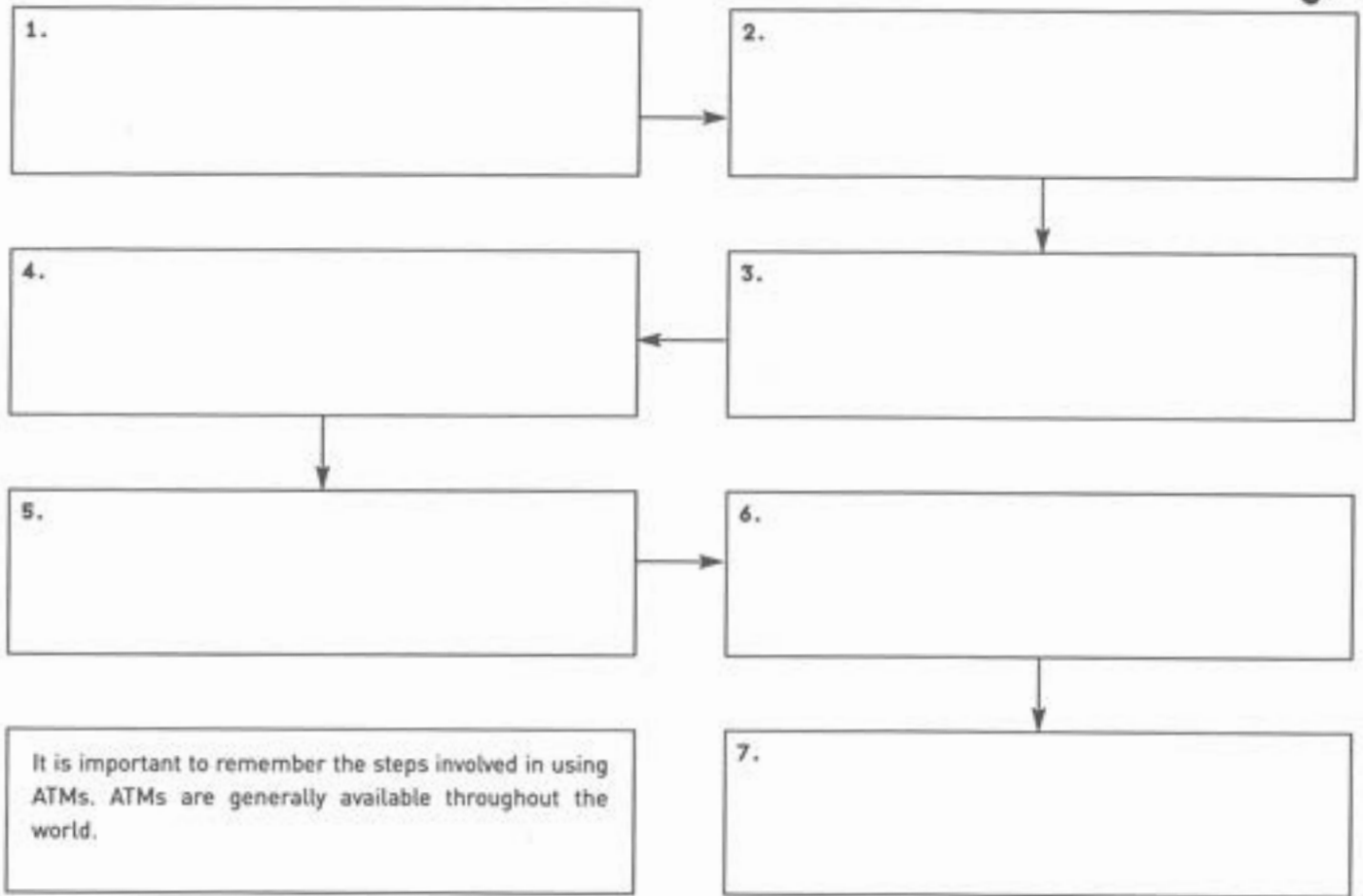
When directly in front of the ATM take your plastic card out of your wallet.

Read the instructions and follow the prompts. The first instruction is to enter your PIN.

If the information you have entered is correct, press the OK button.



Start



Finish

ACTIVITY 2

Answer the following multiple choice questions.

1 ATM stands for:

- a automatic techno machine
- b automatic teller machinery
- c automatic teller machine

2 ATMs were introduced in Australia in:

- a 1981
- b 1890
- c 1980

3 Two essentials required for operating an ATM are:

- a PIN and plastic card
- b PEN and plastic card
- c PIN and paper card

4 If a person enters the incorrect PIN, the card will be taken after:

- a two attempts
- b three attempts
- c four attempts

5 In order to commence a transaction a person should immediately:

- a enter their transaction slip
- b enter their PIN
- c insert their plastic card

EXTENSION QUESTIONS

Read the following passage and then answer the questions below.

'Technology in the workplace has resulted in many changes. In the banking sector, the number of employees has been reduced with the introduction of ATMs and other computer generated services. There has been concern of late about banks in rural locations. Many banks have closed down, leaving some communities without banking facilities.'

6 Suggest forms of banking technology, other than ATMs, that are of convenience to customers.

7 What advantages does banking technology give to the customer?

8 In relation to job security, what disadvantages does banking technology have for bank employees?



11 Create your own money

Congratulations! You entered a competition to design a \$50 note. You competed against ten other finalists in the nationwide money design competition and WON! Before you present your newly designed \$50 note for printing be sure that your note displays all the characteristics of money.

You have no doubt learnt about the characteristics of money. You will then recall that money must be: durable, divisible, portable, acceptable and scarce.

Second, money has certain security features. Have a close look at an Australian note and you will discover the following security features on it: amount of the note, country of origin, watermark, hologram, serial number, detailed background, signature of the Governor of the Reserve Bank of Australia and the signature of the Secretary to the Treasurer.

Your task is to write a proposal and create a model of the design that won the competition.



1 The written proposal

The written proposal should include the following information:

- a how your \$50 note fits the five characteristics of money
- b an explanation of the use of symbols/people/animals/objects on your \$50 note

2 The model

The creation of a model \$50 note should demonstrate:

- a the real size of a \$50 note
- b the security features of Australian money





12 Saving money

Imagine if all the money you earned could be spent. Unfortunately, this is not the case for most people. People save money so they can pay for things in the near future. A person may save in order to purchase additional goods and services. For example, some people choose to save their money so they can buy a car or a new computer.

ACTIVITY 1

Read the following problems and complete the calculations.

Example: Monica has seen a new digital camera that she would like to buy. The camera is valued at \$500. Monica has calculated that she can save \$50 a week. How many weeks will it take for Monica to save for the digital camera?

Answer: $\$500 \div \$50 = 10$ weeks

- 1 Michael has seen a new computer game valued at \$80. In one week Michael washes four cars and earns a total of \$20. How many weeks will it take for Michael to save enough money to buy the computer game?

Answer: _____

- 2 Angela is saving for a trip to South Africa. Angela has looked at her earnings and decided she can save \$100 per week. Her expenses include \$1200 for a plane ticket, \$150 for travel insurance and \$550 for spending money. How many weeks will it take Angela to save for her overseas trip?

Answer: _____

- 3 Dany is saving for university. She wants to study for a science degree. For her first year of university she has to buy three books: chemistry (\$60), physics (\$50) and biology (\$40).

a If Dany can save \$50 a week, how many weeks will it take her to save for her books?

Answer: _____

b If Dany can save \$30 a week, how long will it take her to save for her books?

Answer: _____

- 4 Katerina has her driver's license and is going to buy a second-hand car. She has seen a car that she likes and it is valued at \$3000. Katerina has been saving for the last year and she already has \$1200 in the bank. She can save \$45 a week. How many weeks will it take Katerina to save enough money to purchase her second-hand car?

Answer: _____

- 5 Connor would like to buy a motor bike. His parents have said OK, as long as he buys the correct safety equipment. The motor bike will cost \$750, the helmet \$150 and arm/leg pads \$200. Connor can save \$50 a month. How many months will it take Connor to save for the motor bike and the necessary safety equipment?

Answer: _____

- 6 Dennis and Anne have decided to deposit their money, a total of \$1500, in a fixed term deposit (minimum twelve months). For the twelve-month period, an interest rate of 10 per cent applies. If they withdraw their money before the twelve-month period is over, the interest rate decreases to 5 per cent.

a How much money will Dennis and Anne receive if their money is invested for a twelve-month period?

Answer: _____

b How much money will Dennis and Anne receive if their money is invested for a nine-month period?

Answer: _____





ACTIVITY 2

- 1 List three things that a 15-year-old, a 40-year-old and a 70-year-old would save for. Why would the three different age groups save for different goals? _____

- 2 In 100 words or less, explain what you would save for if you earned \$50 pocket money a week and why you believe it is important to save money. _____

EXTENSION ACTIVITY

Design an advertisement to appear in a teenagers' magazine that has a special edition supplement on saving money for the future. The purpose of the poster is to encourage teenagers to save. Remember to develop an advertisement that would attract a teenager's attention, concentrating on relevant information, language, colour and writing style.



13 Depositing money into a bank account

People deal with money on a daily basis. People earn and spend money. Many people give their employer permission to pay their earnings into a bank account. Some people are paid in cash and therefore have to bank their earnings themselves.

There are other circumstances where a person has to deposit money in a bank. Take a child, for example. If a child were given money for their birthday they may decide to bank it. So it is important that everyone knows how to deposit money into a bank account.

Depositing money into a bank account requires filling out a deposit slip in order to provide the bank with the following information:

- * the type of account (tick a box)
- * account identification number
- * account name
- * date of deposit
- * signature of the person who is depositing the money
- * the total amount to be deposited (information regarding deposited cheques—cheque drawer's name, bank and branch, and amount of cheque—must also be filled out on the deposit slip)
- * number of cheques being deposited

Figure 1 is an example of a completed deposit slip. In this example, on 17 September 2001, Mr Sarkis deposited \$150 cash into his savings account [00 6677 22335543] held at Future Bank [bank, state and branch number or BSB is 005 544].

Figure 1

futurebank Account Type ☐ ASA ☒ SB Pass ☐ TB chq ☐ other			100 50 20 10 5 2 1 Coin Cash Total	DEPOSIT Date 17 / 9 / 2001 Cash 150 00 Cheques see reverse Bankcard/ MasterCard merchant Less Charges
Branch (where account is held) Computer Bank				
Paid in by (Signature) Mr Sarkis				
For CREDIT of Mr Sarkis				
No. of Cheques	Bank/State/Branch No.	Account Number		
	0 0 5 5 4 4 3 3 5 5 4 3			
Total			150 00	

ACTIVITY 1

Today you are going to make a deposit at Future Bank, City Branch (BSB 789 633). The account into which you will deposit the money is called _____ [insert your name]. The savings account identification number is 09 6543 12234309.

Details of the deposit include:

- 1 Cash deposited: \$1 845.
- 2 Cheques deposited:
 - a C. Haklany (bank: Future Bank, branch: Lillypilly, amount: \$50)
 - b R. Noakes (bank: Credit Bank, branch: City, amount: \$210)
 - c I. Nangle (bank: Future Bank, branch: Suburbtown, amount: \$125)
 - d N. Dimeski (bank: Money Bank, branch: City, amount: \$70)

Your task is to use the above information and fill out the deposit slip provided [see Figure 2].



Figure 2

futurebank Account Type ☐ ASA ☐ SB Pass ☐ TB chq ☐ other			100		DEPOSIT																					
			50																							
Branch (where account is held)			20		Date / /																					
			10		Cash																					
Paid in by (Signature)			5		Cheques see reverse																					
			2		Bankcard/ MasterCard merchant																					
For CREDIT of			1		Less Charges																					
			Coin																							
<table border="1" style="width: 100%; border-collapse: collapse;"> <tr> <th style="width: 20%;">No. of Cheques</th> <th style="width: 40%;">Bank/State/Branch No.</th> <th style="width: 40%;">Account Number</th> </tr> <tr> <td> </td><td> </td><td> </td> </tr> <tr> <td> </td><td> </td><td> </td> </tr> <tr> <td> </td><td> </td><td> </td> </tr> <tr> <td> </td><td> </td><td> </td> </tr> <tr> <td> </td><td> </td><td> </td> </tr> <tr> <td> </td><td> </td><td> </td> </tr> </table>			No. of Cheques	Bank/State/Branch No.	Account Number																			Cash Total		
			No. of Cheques	Bank/State/Branch No.	Account Number																					
Total																										

Details of Cheques (proceeds will not be available until cleared)			
Drawer (i.e. Account Name on Cheque)	Bank	Branch	Amount
Total			

ACTIVITY 2

Today you are going to make a deposit at Future Bank, Suburb Branch (BSB 782 745). The account into which you will deposit the money is called Mohammad and Melanie Lotsamoney. The savings account identification number is 04 6244 11264808.

Details of the deposit include:

- 1 Cash deposited: \$500.
- 2 Cheques deposited:
 - a Q. Nguyen (bank: Savings Bank, branch: Sillypilly, amount: \$60)
 - b W. Norris (bank: Future Bank, branch: City, amount: \$300)
 - c J. O'Connor (bank: Savings Bank, branch: Suburbtown, amount: \$250)
 - d N. Sarkis (bank: Money Bank, branch: City, amount: \$400)

Your task is to use the above information and fill out the deposit slip provided (see Figure 3).

Figure 3

futurebank Account Type ☐ ASA ☐ SB Pass ☐ TB chq ☐ other			100		DEPOSIT																					
			50																							
Branch (where account is held)			20		Date / /																					
			10		Cash																					
Paid in by (Signature)			5		Cheques see reverse																					
			2		Bankcard/ MasterCard merchant																					
For CREDIT of			1		Less Charges																					
			Coin																							
<table border="1" style="width: 100%; border-collapse: collapse;"> <tr> <th style="width: 20%;">No. of Cheques</th> <th style="width: 40%;">Bank/State/Branch No.</th> <th style="width: 40%;">Account Number</th> </tr> <tr> <td> </td><td> </td><td> </td> </tr> <tr> <td> </td><td> </td><td> </td> </tr> <tr> <td> </td><td> </td><td> </td> </tr> <tr> <td> </td><td> </td><td> </td> </tr> <tr> <td> </td><td> </td><td> </td> </tr> <tr> <td> </td><td> </td><td> </td> </tr> </table>			No. of Cheques	Bank/State/Branch No.	Account Number																			Cash Total		
			No. of Cheques	Bank/State/Branch No.	Account Number																					
Total																										



Details of Cheques (proceeds will not be available until cleared)

Drawer (i.e. Account Name on Cheque)	Bank	Branch	Amount
Total			

ACTIVITY 3

It is essential that you fill in your deposit slip accurately. Using the table below, outline the problems that might arise if you don't fill out your form correctly.

AREA OF CONCERN	EXPLANATION
1. Using the correct deposit slip when banking money and cheques.	
2. Filling in the correct BSB number.	
3. Filling in the correct account name.	
4. Making sure that the information relating to the cheques on the reverse side of the deposit slip is correct.	
5. Making sure that the name of the bank branch matches the BSB number.	

EXTENSION QUESTIONS

- 1 The introduction of electronic banking (Internet banking) has led many people to believe that banking cheques are a 'thing of the past'. Given that many businesses still make payments to people and other businesses with cheques, do you agree with this statement? _____

- 2 Suggest ways of making future payments without using cheques. Discuss your ideas with the rest of the class.



14 Needs and wants vs goods and services

Needs and wants

There are particular items that are required by all people. They are called 'needs'. A **need**, also referred to as an **essential**, is an item that is necessary for survival. People require **needs** in order to survive. Water, food, clothing and shelter are essential for a person's survival.

All other items, besides those categorised as **needs**, are referred to as **wants**. A **want** is not essential for survival. Examples of **wants** include CD players, cars, microwaves, computers and tennis rackets. **Wants** are also called luxury items.

Do you see a change in people's needs with the advancement of modern society? As societies become more technologically advanced, what was once considered a 'want' is now for some people a 'need'. Although not essential for basic survival, in particular occupations a car is considered to be a **need**. For couriers and taxi drivers, whose job involves driving a motor vehicle of some type, a car is a modern **need**.

Goods and services

A **good** is an item that can be purchased by a consumer. A **good** is tangible (you can touch it). Examples of a good include a computer, a car, an item of clothing and a pen.

When you purchase a **good**, you often need to purchase an additional good so the original good can function properly. The purchasing of an additional good is called a **complementary good**. For example, if you purchase a CD player you also need to purchase a CD.

Goods can also be divided into **individual** and **collective goods**. An **individual good** is an item that is solely for personal use. For example, Sarah's rollerblades are an individual good. On the other hand, **goods** that are used by the community are called **collective goods**. For example, the local swimming pool is a **collective good**.

A **service** is an act performed for a consumer. Unlike a good, a service is intangible (you cannot touch it, but you can see it being done). Examples of a service include work performed by a dentist, hairdresser, teacher and a mechanic.

1 Define the following terms:

- a need _____
- b want _____
- c good _____
- d service _____
- e individual good _____
- f complementary good _____
- g collective good _____

2 What is the major difference between a good and a service? _____

3 For homework, look through newspapers and magazines, then cut out pictures that are examples of the following terms:

- a want
- b need
- c good
- d service
- e complementary good
- f individual good
- g collective good

In your book, draw up a table with two columns. In the first column list the terms and in the second column glue in the correct pictures.



4 List five goods and five services that your family has purchased or used in the last month.

5 Conduct a class survey of the answers to question 4. Draw up a table of the results. Then answer the following questions:

- What was the most purchased/used good and service?
- Why do you think the most popular good was purchased more than the least purchased?
- Do you think there is a price difference between purchasing goods and services? Why, or why not?

6 There have been many changes in society since the 1950s. Current statistics indicate that many people in today's society are:

- marrying later;
- having fewer children;
- working longer hours;
- travelling more often; and
- have more disposable income

than people in the 1950s. Fill in the table below indicating how these changes might affect the needs and wants of people within these societies.

FACTORS	NEEDS AND WANTS	
	1950S	PRESENT
1. Income		
2. Shelter/housing		
3. Leisure time		
4. Technology (work)		
5. Fashion		
6. Technology (home/private use)		

Consider the information you collected for the above table. Do you think life has been made easier or harder as a result of new technologies and changes in social structure?

EXTENSION QUESTIONS

7 Make a list of items that you want right now. Then, imagine you could time travel. Make a list of items that you think you might want in fifteen years' time.

8 Why do you think your wants changed over a period of fifteen years?

9 Can you think of any other reasons (not related to age) why people's wants change?



15 Bankruptcy

Bankruptcy is regularly reported in newspapers and on the nightly TV news. But what does bankruptcy mean? The word 'bankruptcy' refers to a financial situation where there is legal recognition that a person or a business is no longer able to pay their debts (money owing). A person or business must owe at least \$1 500 to be declared bankrupt. The person/business that owes the money is called the debtor. The person/business to whom/which the money is owed is called the creditor.

For example, Caitlin (the debtor) is unable to pay Enrico (the creditor) the sum of \$53 000. Caitlin can either declare herself bankrupt or it can be done by a creditor. In both cases, bankruptcy must be proven six months before filing for bankruptcy.

In the case of Caitlin, if she is unable to meet her debts, then her financial position should be legally recognised and her assets controlled by an official. An asset is a valuable that can be sold in order to meet outstanding debts. The assets are handed over to an official. The role of the official is to divide the assets (converted into cash) equally among creditors. It must be remembered that although the assets have been converted into cash, not all creditors will be paid in full. Once Caitlin has been declared bankrupt, her financial status is that of 'bankrupt'.

Caitlin must remember that this financial state will remain for three years and in that time she cannot obtain credit of more than \$500 and she cannot change her name in order to operate a business. Enrico too must keep in mind that once Caitlin has been declared bankrupt he cannot try to regain his debt (if not already recovered).

As mentioned above, in order for Caitlin's debt to be paid, her assets were placed under the direct control of an official. The **Bankruptcy Act 1966** does not allow certain debtor's assets to be sold to pay creditors. Caitlin's essential clothing, household property, life assurance policies, income and means of transport (up to \$2 500 worth) will not be taken away from her.

ACTIVITY 1

Example 1

Mrs Lowoncash owes various creditors the following amounts.

a Better Tyres	\$379
b Mrs Crossland	\$700
c Murray Electricity	\$140
d Morrison Accountants	\$100

What is the total amount of money owed and can a petition of bankruptcy be declared?

Answer: _____

Example 2

Matt Johnson owns a local surf shop. He owes creditors the following amounts.

a Press Plumbing	\$350
b Furniture Supplies	\$999
c Leroy's Repairs	\$346
d Drew's Surfboard Manufacturing Company	\$2 790

What is the total amount of money owed and can a petition of bankruptcy be declared?

Answer: _____

ACTIVITY 2

- 1 Define the term 'bankruptcy'.
- 2 What is the name of the law that covers information pertaining to bankruptcy? In what year was it introduced?
- 3 What minimum amount of money must be owed in order for bankruptcy to be declared?
- 4 Explain the difference between a debtor and a creditor.
- 5 Which two groups can file for bankruptcy of a debtor?
- 6 Before filing for bankruptcy, what is the amount of time in which this financial state must be proven?
- 7 Describe the role of an official in bankruptcy.
- 8 Decide whether each of the following statements is true or false.
 - a _____: The state of bankruptcy lasts for seven years.
 - b _____: An asset is a valuable that an official can convert into cash in order to pay creditors.



- c _____: Within one year of being declared bankrupt, a person may operate a business under another name.
- d _____: According to the **Bankruptcy Act 1966**, all a debtor's personal items can be sold, including essential clothing and household property, in order to pay creditors.
- e _____: A person who has been declared bankrupt is unable to obtain credit of more than \$500 for up to three years.

ACTIVITY 3

A sequence is a series of happenings in a particular order. Place the following events in sequence.

- * The debtor is made aware that more than \$1500 is owed.
- * A person may develop a poor spending habit and does not keep a record of money owed.
- * The debtor, having been notified of outstanding debts, explores all the options for making payments to creditors.
- * The debtor's assets are sold to pay outstanding debts.
- * Unable to pay their debts, the debtor files for bankruptcy.
- * Six months later, the debtor's financial state is made legal.

- 1 _____
- 2 _____
- 3 _____
- 4 _____
- 5 _____
- 6 _____

ACTIVITY 4

Imagine you are a bank manager and the following people have applied to your bank for a loan. Write down points you will need to consider in each case in relation to the loan application.

- 1 Marija has four credit cards. She has outstanding bills of \$3000 and is currently unable to pay them. She is thinking of leaving her job because she does not get along with her employer. Marija does not have another job to go to and she is not overly concerned. She does not have any savings in the bank.

- 2 Ricky has worked very hard since leaving school at the age of 18. He is 30 years of age and working full-time. He has already paid off two loans, one for a motor vehicle and the other for a flat. Ricky has applied for a third loan, as he wants to purchase a house. The bank's records show that he has never been unable to pay his debts.

- 3 Mary-Ellen has been working full-time for fifteen years. She has decided that she would like to go on an overseas holiday. Mary-Ellen has only ever applied for one loan before this application and that was to purchase a house. She has just made the final payment on the loan. She has applied for a loan of \$2000 with the support of three referees.



16 Characteristics of money

ACTIVITY 1

Using your general knowledge, indicate whether the following statements are true or false.

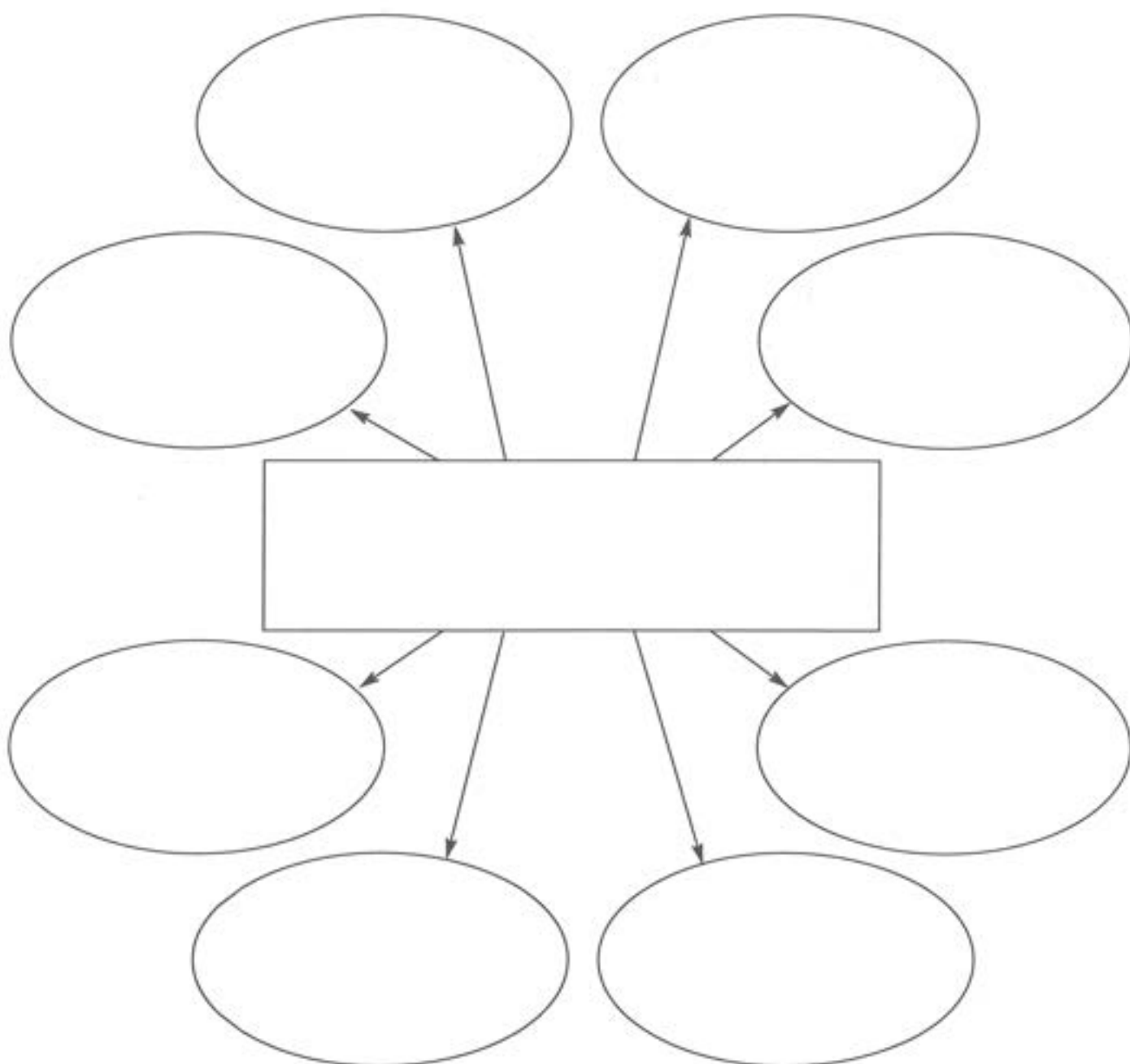
- 1 _____: Money comes in different denominations (amounts).
- 2 _____: Money can be carried in a purse or wallet.
- 3 _____: A person can exchange Australian dollars for Chinese yen.
- 4 _____: Australian money will not be ruined if it is left in a person's clothes and washed in a washing machine.
- 5 _____: Money is considered valuable because it is in short supply.

The five characteristics of money

- 1 **Divisible:** People buy goods and services valued at different prices. For this reason, money needs to be available in different denominations. If a person buys a CD for \$20, but hands a \$50 note to the salesperson, the customer is given \$30 in change.
- 2 **Portable:** People move from place to place. For this reason, it is important that money can be easily taken from place to place.
- 3 **Durable:** Australian money (notes) is made from polymer (plastic). Prior to 1992, when the first polymer note was released, notes were made of paper but they only lasted for approximately six months. As money changes hands frequently, it is important that it lasts, or is durable.
- 4 **Scarce:** Scarce means limited in amount. Given that money is in limited supply, it is of value to people. Money is in limited supply because the Royal Australian Mint controls the money supply. The problem of inflation arises when too much money is available. Inflation is an increase in the overall level of prices. With inflation a fixed amount of money buys fewer goods and services than it did previously.
- 5 **Acceptable:** Money must be accepted by everyone. People must be confident that when they pay for a good or a service, their money will be accepted as payment.

ACTIVITY 2

- 1 Write the heading 'Characteristics of money' in the rectangle in the centre of the mind map on the next page.
- 2 Write the five characteristics of money in the surrounding circular shapes:
 - a divisible (money has numerous denominations)
 - b portable (money can be easily carried around)
 - c durable (money will last for an extended period of time)
 - d scarce (there is only a certain amount of money printed)
 - e acceptable (money takes on value because the people who use it accept it)
- 3 Read the points below. Add more circles and lines to include them in your mind map. [Hint: If you run out of space, just write a, b, c, etc.]
 - a \$100 can be carried around in a wallet.
 - b The different denominations of money allow a person to buy an inexpensive good.
 - c All people involved in trading products, worldwide, must agree that the money unit is acceptable.
 - d \$2 can be carried around in a wallet.
 - e The different denominations of money allow a person to buy an expensive good.
 - f Polymer (plastic) money lasts for approximately 40 months.
 - g Money only holds value if it is in limited supply.
 - h Trade will not occur if an incorrect money unit is used.
 - i If money is printed to overcome a money shortage, inflation may occur.
 - j Paper money is no longer used in Australia because it did not last for an extended period of time.



EXTENSION QUESTIONS

- 4 Why are 1 and 2 cent pieces no longer accepted as legal tender (currency) in Australia?
- 5 Why are Australian currency (notes) now made out of polymer instead of paper?
- 6 Why do you think the Australian \$1 and \$2 paper notes were changed to coins?



17 Case study: Choice

As a consumer it is very difficult to compare every variety of product that is for sale. When deciding on a product it is very wise to research the selection available. In light of the Latin phrase **caveat emptor**, let the buyer beware, consumers are responsible for their purchases and therefore should choose carefully.

A magazine called **Choice** was established to provide consumers with information relating to product quality and performance. **Choice** is an Australian magazine that is published in Marrickville, NSW, eleven times a year.

Choice reports on the testing of a variety of products. The people who work for **Choice** test a variety of the same product—for example, a camera or a microwave—and present the information to the consumer. This enables the consumer to be aware of the different models of products, their prices, standards and availability. Most importantly, it allows the consumer to get the best value for their money for a particular product.

The staff at **Choice** purchase the products that they test from shops, as do normal consumers, because they want to act ethically. When they comment on their findings they want to do so freely and without any commitment to another business that may have given them the product free of charge. For example, if the staff at **Choice** find it difficult to obtain a particular product then they will comment on this in the magazine.

Choice magazine includes various regular features. Examples include:

- * 'Choice Regulars' (letters), which allows consumers to write to **Choice** magazine and voice their opinion on a certain product
- * 'Choice Reports', which includes specialised reports on particular products
- * 'Choice Tests', which presents information on a variety of products that have been tested by **Choice** employees

ACTIVITY 1

Answer the following questions which relate to general information about **Choice** magazine.

- 1 What is the official name of the magazine? _____
- 2 In which country, state and suburb is **Choice** magazine published? _____
- 3 How many times a year is **Choice** magazine published? _____
- 4 List three regular **Choice** features that inform consumers about products. _____

ACTIVITY 2

Read an article from **Choice** magazine, or from their website [www.choice.com.au], and then answer these questions.

- 1 List the name of the article and the date of the publication. _____
- 2 Which general product does the article inform the consumer about? _____
- 3 How did the product researchers compare the products in order to decide which product was the better value? _____

- 4 Which product would you purchase? Why? _____

EXTENSION QUESTIONS

- 5 As a consumer, explain why the factors of money and convenience contributed to the establishment of **Choice**.

- 6 Explain why the magazine's publishers claim to be 'independent to any commercial, government or union interests, and we don't accept advertising, paid or unpaid'. _____



18 Foreign currency

Each country has its own currency which is legal tender within the borders of that country. Normally it cannot be used for cash transactions in another country. Foreign currency refers to currency (money) of another country, other than the place in which the person is located. For example, if you lived in Australia and you were to travel to Japan you would need to purchase Japanese yen. In this example, Japanese yen is the foreign currency.

Being able to change one country's money for another country's money allows people to travel and trade (exchange goods and services). Exchanging one currency for another can usually be done in both countries. Imagine if you couldn't exchange money at all. Going to another country but not being able to purchase products (a drink, food and a night's accommodation) would make your holiday a disaster! Fortunately, this is not the case.

The value of a country's currency fluctuates according to its supply and demand on the world markets. Supply refers to the amount of the currency that is available for sale. Demand refers to how sought after the currency is on the world markets. For example, the value of the Australian dollar fluctuates on world markets according to the demand for it. In May 2000, the Australian dollar was worth 58 US cents, but in June 2000, it was worth 56 US cents. Australian currency is measured against all currencies but due to the strength of the USA's economy, the US dollar is used as a benchmark. A benchmark is a standard which all countries aim to achieve.

ACTIVITY 1

- 1 Define the term 'foreign currency'. _____
- 2 List two advantages of being able to exchange one currency for another currency. _____

- 3 If you arrived in another country without their currency, what difficulties might you experience? _____

ACTIVITY 2

- 1 A group of five Spanish friends (living in Spain) are planning a holiday in Europe that will include stopovers in Austria, Belgium, Italy and France. Name the currencies that they will need during their holiday, including that of their own country of residence.

- 2 The Lahood family live in New Zealand. They have booked a holiday to Asia, including Indonesia, Thailand, Japan, India and Vietnam. Name the currencies that they will need during their holiday, including that of their own country of residence.

- 3 Match the following countries and the names of their currencies.

COUNTRY	CURRENCY
South Africa	\$A dollar
Switzerland	drachma
England	pound
Papua New Guinea	\$US dollar
Spain	riyal
Portugal	rand
USA	peseta
Greece	kina
Saudi Arabia	franc
Australia	escudo

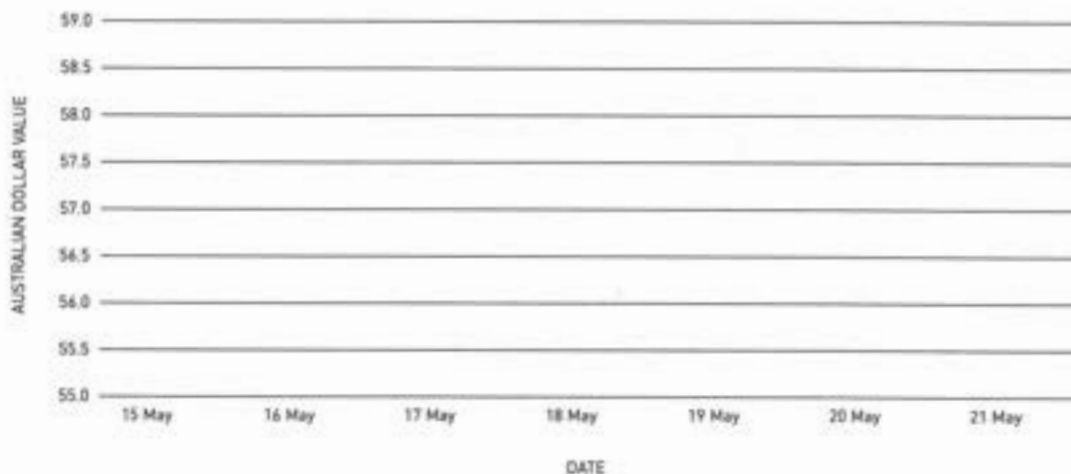




ACTIVITY 3

- 1 The following information relates to the value of the Australia dollar (compared to the US dollar) and the US dollar (compared to the Australian dollar). Plot the value of the Australian dollar (red pen) on the graph provided.

DATE	VALUE OF AUSTRALIAN DOLLAR (compared to the US dollar)
15 May 2000	58.0 cents
16 May 2000	57.5 cents
17 May 2000	57.9 cents
18 May 2000	56.0 cents
19 May 2000	56.5 cents
20 May 2000	57.1 cents
21 May 2000	56.4 cents



- 2 In the period 15–21 May 2000, on which date was the value of the Australian currency the highest?
- 3 In the period 15–21 May 2000, on which date was the value of the Australian currency the lowest?
- 4 Suggest one reason why the value of the Australian dollar would decrease in value.
- 5 Suggest one reason why the Australian dollar would increase in value.

EXTENSION ACTIVITY

Research the Euro currency, then answer the following questions.

- 6 What is Euro currency?
- 7 When will the Euro currency be introduced in tangible form?
- 8 Which countries will be functioning with the Euro currency in tangible form?
- 9 What is the reasoning behind the introduction of the Euro currency?





19 Tax File Number

All three levels of Australian government—local, state and federal—collect taxes. Individuals and businesses make these compulsory payments to the government. The governments use the money to provide infrastructure (schools, roads, hospitals etc.) for people within the community. The Commonwealth government collects taxes from income (income taxes).

The Australian Taxation Office (ATO) works on behalf of the government to process the collection of income tax. A tax return is a declaration of income earned by a person or business. The ATO then calculates whether or not that person or business has paid the correct amount of tax. The ATO may require the additional payment of tax or, alternatively, issue a tax refund. To make the process of collection of taxes more efficient, the ATO introduced the tax file number (TFN) in 1989.

A TFN is a number issued by the ATO. It is issued to the following: an individual person, a company, a trust, a partnership or a superannuation fund.

Just as people and businesses have their own personal identification numbers for bank accounts, the ATO assigns a particular TFN to each individual taxpayer who applies for one. The taxpayer keeps the allocated TFN throughout their life. Although it is not compulsory to have a TFN, it is recommended that one be obtained.

People without a TFN may experience delays with the ATO processing financial information. Having a TFN allows a person's tax to be calculated correctly, for without a TFN a person may pay more tax than is required.

Having a TFN assists people, as it is required in many circumstances. The following list highlights some of the circumstances in which a person will need a TFN:

- * lodging a tax return (declaring their income and expecting a return of extra tax in the form of money)
- * applying for certain income assistance or Support payments (such as Centrelink or benefits)
- * paying Child Support Allowance
- * starting or changing jobs (filling out an employment declaration form)
- * studying at a tertiary institution and wishing to defer payment under the Higher Education Contribution Scheme (HECS)
- * being a member of a partnership or trust
- * having savings accounts or investments that earn income (e.g. dividends and interest)

To receive a TFN, a Tax File Number Application or Enquiry form must be lodged. During this process certain documents must be provided as proof of a person's identity. Original documents, not photocopies, must be shown. Such documents include:

- * current Australian passport
- * current overseas passport with evidence of Australian immigration status
- * certificate of Australian citizenship
- * full Australian or overseas birth certificate
- * Australian pension concession card
- * current Australian driver's license
- * marriage certificate
- * property rates notice less than one year old, issued for Australian property

For security reasons the ATO will not release a person's TFN over the telephone. Within 28 days of the application being processed, the TFN will be mailed to the applicant's postal address.

ACTIVITY 1

- 1 What do the letters ATO and TFN stand for? _____
- 2 In which year were TFNs introduced? _____
- 3 Which level of government is responsible for the collection of income tax? _____
- 4 Which individuals and organisations can apply for a TFN? _____

- 5 Explain why it would be difficult for a person to apply for a new job without a TFN. _____

- 6 List three other circumstances that require a TFN. _____



- 7 Suggest one disadvantage for an individual who does not have a TFN. _____
- 8 True or false? A tax file number changes when a person reaches the age of 45. _____
- 9 Suggest a reason why documents are required as proof of identification when applying for a TFN. _____

ACTIVITY 2

Once you begin working you will have to lodge a tax return which requires you to provide the Australian Taxation Office with details of the income you have earned in the financial year (1 July–30 June) and any deductions you are making. To make it easier for you to lodge a tax return, the Australian Taxation Office provides you with useful information and help on its web site (www.ato.gov.au). The following information is included on its site.

Why you need to lodge a tax return

Lodging your tax return not only helps you to meet your tax obligations but it also helps build the Australian community. The personal income tax system enables the Government to implement its social and economic policies for the benefit of all Australians.

The following are some important taxation obligations which apply under the law.

Source: Australian Bureau of Statistics.

Be truthful in your dealings with the Tax Office	The tax system is based on your providing complete and accurate information. This means, for example, showing all your assessable income in your income tax return and claiming only deductions, rebates and credits to which you are entitled. If you request a private ruling or we ask you to provide information, please take care to ensure that the information you provide is complete and accurate.
Keep records in accordance with the law	This helps you to prepare an accurate tax return, pay the correct amount of tax, and to meet your obligations to deduct and remit taxes and other amounts on behalf of others. You will need to keep your records for 5 years from the date of your last claim.
Take reasonable care	You need to take the same degree of care that a reasonable, ordinary person in your circumstances would take to fill out a tax return. Contact the Tax Office if you are unsure about any issue.

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- Define the following terms in the text:
 - assessable income
 - deductions
 - rebates
 - credits
- Why is it important that you: are truthful in your dealings with the Tax Office; keep records in accordance with the law and take reasonable care when completing a tax return?
- Why do you think the Tax Office asks you to keep records for five years from the date of your last claim?



20 Product information

When purchasing products consumers need to make themselves aware of specific details relating to the product and the business that is selling them. Consumers in the 21st century want to understand more about the products they purchase. Four areas of concern relate to: the environment, information contained on packaging, pricing and marketing strategies.

ACTIVITY 1

Choose three product packages and answer the following questions according to each individual package.

Prices

The sum or amount of money or its equivalent for which anything is bought, sold or offered for sale.

QUESTIONS

- 1 Does the company set the price or does it vary from suburb to suburb? _____
- 2 Can you suggest a reason for this? _____
- 3 Does the price fluctuate according to supply/demand? _____
- 4 Does the price depend upon the appearance of the product? _____
- 5 Do you think the price reflects the quality of each product? _____

Information

Knowledge communicated or received concerning some fact or circumstance.

QUESTIONS

- 6 What are bar codes? What are they used for? _____
- 7 What are use by dates? What are they used for? _____
- 8 What specific information relating to nutrition is on the packaging of the product? _____
- 9 Is information relating to nutrition misleading in any way? Why do you think businesses do this? _____

Marketing

The total process whereby goods and services are put onto the market.

QUESTIONS

- 10 List four common colours that are used on the packaging of your products. Why are certain colours used?

- 11 What shapes are used to persuade you to purchase the product? _____
- 12 Is the design important? _____
- 13 Is there a specific jingle or song that is used to promote any of the products? See if you can remember them. Write them down.
If not, write down what is on the TV/radio ad. _____

- 14 In what ways could the product be improved, making you want to purchase it? _____



The environment

Those natural features that surround us, including the physical environment, plants and animals.

QUESTIONS

- 15 What is recycling? Are any of your products recyclable? _____
- 16 Does the company have a recycling program? What symbol or wording tells you this? _____
- 17 Could the item be packed in less material? _____
- 18 Is the product harmful to the environment? Why, or why not? _____

ACTIVITY 2

Within one section of the supermarket you might find a number of companies selling the same product. For example, there may be five different brands of tissues or shampoo. While these products are essentially the same, they can vary in price—often as a result of the brand name or the packed weight of the product.

- 1 Why do you think supermarkets sell goods under their own brand name, along with goods from other companies?
- 2 Is there a difference in price between supermarket goods and brand goods? If so, what is the difference?
- 3 How do you think supermarkets are able to supply goods at a cheaper price through their own brand?
- 4 Comparing prices of goods often results in price savings. Below is a table of information relating to the price comparison of coffee and pasta.

	200 GRAMS	500 GRAMS
COFFEE A	\$3.35	\$7.16
	200 GRAMS	400 GRAMS
COFFEE B	\$3.77	\$7.06
	375 GRAMS	600 GRAMS
PASTA A	\$3.37	\$4.82
PASTA B	\$4.79	\$5.97

Answer the following questions, using a calculator where required.

- a If you bought a 200 gram pack of Coffee A, how much are you paying per 100 grams?
 - b If you decided to buy the 400 gram pack of Coffee A, how much would you be paying per 100 grams?
 - c Which product is the cheapest to purchase based on value for money?
 - d Calculate the price for 100g of Coffee B (for both 200 gram and 400 gram pack).
 - e Which product is the cheapest to purchase based on value for money?
 - f Calculate the cost per 100 grams for each packet of pasta and list them in order of value for money.
- 5 What factors may contribute to different prices among similar products such as coffee, pasta, fruit and vegetables?
 - 6 Explain the importance of evaluating value for money when purchasing goods.

Selected answers

1 Business goals

- 3 Owner's personal goals: **g** independence **f** job security. Social goals: **c** community service **e** ecological sustainability.
Financial goals: **h** business growth **a** increase in market share **i** return on investment **b** profit **d** increase in sales.

Extension questions

- 6 Finding a supplier that can supply less expensive raw materials, less expensive transportation options and establishing time-efficient practices for staff to maximise output.
8 There is still a need for non-profit organisations as not all people can be cared for by government funding. People who lose their job and do not have adequate food or shelter must be supported by organisations such as the Red Cross and the St Vincent de Paul Society.

2 Costs of running a business

- 1 **a** general expenses that a business incurs **b** costs that do not remain constant over a given period of time **c** costs that remain the same over a given period of time.
2 Fixed: rent, insurance, lease. Variable: electricity, transport and telephone.
3 Profit = income – costs (fixed + variable)
4 **a** total costs = \$2 465, profit = \$2 105 **b** total costs = \$80, profit = \$420
5 Business 1 has more fixed costs than Business 2. Business 1 is an established business and has costs such as rent and wages. Business 2, on the other hand, is a newly established business operating from home. Its only cost is insurance.

Extension questions

- 6 **a** Australian Business Number. **b** It does not cost anything to apply for an ABN.
7 Australian Taxation Office.
8 A business that has an ABN can apply for tax credits without fear of money being withheld from creditors.

3 Design your own business card

- 1 **a** true **b** false **c** true **d** true **e** false 3 mobile phones, email, faxes, Internet (web page), office telephones, letters/post, media (bill boards, television, radio, print).
4 **Mobile phones** – **advantages**: access to people outside of the office, easy for workers to maintain contact with clients, customers able to contact person directly rather than going through reception, **disadvantages**: expensive to run, unreliable (poor network connection, batteries need to be maintained), easily abused by staff. **Fax** – **advantages**: much faster than traditional post, relatively cheap to run/operate, **disadvantages**: in large corporations fax may take a while to arrive on recipient's desk, lack of privacy, fax may be jammed or engaged for long periods of time. **Internet (web page)** – **advantages**: allows clients to find out about a company or business without contacting the business directly and allows staff more time to complete other tasks, can also include complete contact details for company for further information, stimulating and interesting ways to present information to a wide audience, **disadvantages**: can be frustrating for consumer if connection is slow, web page can be inaccessible due to technological problems, consumers may not find all of the information they want and might not contact the company for further information. **Office telephones** – **advantages**: inexpensive way of connecting staff to clients, direct access to a range of people in the company if necessary, **disadvantages**: lack of privacy, overuse by staff for private calls. **Post** – **advantages**: inexpensive way of communicating, able to send large documents easily, parcels can be tracked, **disadvantages**: quite slow, especially over long distances, parcels can get lost (if not registered) or damaged. **Media** – **advantages**: interesting and stimulating way of promoting a company, can target a large audience, **disadvantages**: very expensive, people may not remember company names/details, may not target audience well enough.
5 The employee should use these communication tools for business rather than personal correspondence. The use of telephones for personal calls leads to increased expense for the company and ties up phone lines which makes it difficult for customers to get in contact with the business. Private emails can result in time being wasted and therefore productivity, it may also affect the way in which the company is viewed by others if the email is offensive.

4 Exporting

Activity 1

1 to sell products to another country 2 country, techno, pop 3 pop 4 techno 5 country 6 techno (1995: 50 per cent), (1996: 50 per cent), (1997: 60 per cent), (1998: 70 per cent), (1999: 80 per cent), (2000: 75 per cent) 7 **a** pop (1998–2000: 20 per cent), **b** country (1997–99: 10 per cent) 8 **a** country: 5 per cent decrease (10 per cent to 5 per cent) **b** techno: 5 per cent decrease (80 per cent to 75 per cent) **c** pop: constant (20 per cent) 9 Stop exporting country CDs (was at its highest in 1996 at 30 per cent but has since decreased to a low of 5 per cent in 2000) and export another music type so as to increase sales.

Activity 2

- 1 Skills such as leadership and innovation are required. It may be useful for Van to attend a management skills course, or to identify areas of weakness in his management techniques and find ways to improve/deal with these weaknesses.
- 2 Market research is required so the business owner is aware of any competitors and therefore adopts strategies to combat any competition. Suggest a market research company to Van, have him do some research and assess the level of competition before embarking on the export market. Have Van list the ways in which his product is different/better than other products in the same market and suggest he structure his advertising and promotion around these factors. Have Van target specific companies that have not imported similar goods.
- 3 The business owner may consider borrowing funds from a bank to allow money for expansion in operations. Suggest Van creates a business plan which outlines projected profit for the following five years. Identify a time at which it would be best for Van to begin his exporting in light of this.
- 4 Management needs to be aware of emerging technologies and provide training for their employees. Training employees to undertake several types of jobs will increase productivity.

Activity 3

- 1 a New Zealand: \$7793 million b Singapore: \$4844 million c UK: \$4633 million d Japan: \$19167 million e Korea: \$8320 million
- 2 1991–92: Japan (24.9 per cent), USA (10.4 per cent), NZ (5.7 per cent), UK (5.5 per cent) and Singapore (5.4 per cent), 1996–97: Japan (18.2 per cent), USA (8.3 per cent), Korea (7.9 per cent), New Zealand (7.4 per cent), Singapore (4.6 per cent) and UK (4.4 per cent) 3 Japan (6.7 per cent) 4 New Zealand (1.7 per cent) 5 Taiwan (4.0 per cent) 6 Exports have been increasing in amounts and monetary value and therefore contributing to a higher total.

5 Stakeholders in a business

4 Internal business environment

Employees: continuation of employment, payment in the form of wages and salaries

Employers: profitability of the business so owners receive a return on investment

External business environment

Environment: impact of business activity on the natural environment; noise, air and visual pollution

Customers: quality made goods and services, reasonable prices for goods and services

Community: business supporting community events

Suppliers: business pays its bills on time for using the services of another business; business continues so another business can provide necessary materials

Government: ensuring that the business pays taxes; ensuring that the business abides by laws

Creditors: people to whom the business owes money

Extension questions

- 5 a A mining company, and other businesses, must comply with legislation set down by the government. An example of this is the need to pay the required company tax. b Businesses must conduct their operations with a view to ensuring sustainable development. The mining company must use its resources wisely so that it does not deplete resources for future generations. c Businesses must consider the parties that have invested in the venture and ensure an adequate return on their investment. A mining company must concern itself with generating enough business in order to make a net profit which will be divided among the parties that have invested. d Businesses must seek to conserve the environment. In the case of a mining company it would be important for it to ensure it uses its resources wisely and does not deplete the region's natural resources.
- 6 A mining company will be concerned with generating a return on investment to those parties that invested in the business (shareholders). A conflict may arise when the business has to use natural resources (and potentially exhaust the reserves) in order to generate profits.

6 Types of business organisations

Activity 1

- 1 sole trader 2 partnership 3 co-operative 4 private company 5 public company

Activity 2

- 1 capital 2 government 3 partnership 4 expansion 5 liability 6 private company 7 sole trader 8 shareholder 9 stock exchange 10 dividend

Activity 3

- 1 true 2 true 3 false 4 true 5 true

Activity 4

Extension questions

LEGAL STRUCTURE	ADVANTAGES	DISADVANTAGES
1. Sole Trader	• Does not require a large amount of capital • Independent decision making	• Unlimited liability • Lack of management may lead to failure
2. Partnership	• Relatively easy to establish • More than one person contributes capital	• Unlimited liability • Profit shared amongst owners
3. Public Company	• Capital can be raised through the sale of shares • Limited liability	• Profit is divided amongst share holders • Limited involvement in day-to-day running of the business
4. Private Company	• Limited liability • More than one person contributes capital	• Expensive to run • Large number of people making decisions

6 Sole trader would be the most appropriate structure as there are minimal legal requirements for establishing the business and minimal capital is required. 7 Partnership would be the most appropriate legal structure when considering expansion. This allows for extra capital to be invested and for management to be shared. 8 Unlimited liability refers to the total responsibility of the owners to pay debts. In the case where owners are unable to pay, debt one partner can be liable for another's debts.

7 GST

Activity 1

1 true 2 true 3 false 4 false 5 false

Activity 2

Taxation: 1, 13, 14. History behind GST: 6, 9, 10. GST facts: 5, 7, 8, 11, 12. GST free items: 2. GST and Food: 3. The role of ACCC: 4.

1 Tax is money paid by individuals, companies and organisations to the government. It is used to build infrastructure such as roads, hospitals and schools. 2 See table page 17. 3 Food items that have GST in their price include those that are not considered an essential part of a healthy diet. In general unprocessed foods are GST free. 4 The Australian Competition and Consumer Commission [ACCC] 5 It is the job of the ACCC to ensure that all businesses implement the GST fairly, and do not take advantage of changes in prices to create unfair competition. 6 Goods and Services Tax 7 The Democrats 8 1 July, 2000 9 Sales tax 10 The Liberal Party 11 In order to have a larger tax base; to ensure that tax was collected fairly. 12 a cuts in income tax b family assistance, pensions and allowances were increased 13 10 per cent 14 The taxation system should be simple, fair and neutral

Extension questions

15 'Increasing the base' means increasing the areas from which taxation can be derived. 16 A taxation system must aim to be basic enough so that: the majority of the population can understand the way in which it functions; the people of the country view the system as treating all people equally; and that it is not biased to any particular group of people.

9 Australian polymer currency research task

Activity 1

1 \$5 2 \$100 3 \$10 4 \$20 5 \$50

Activity 2

- \$5** 1992 [recoloured 1995] / Durability / Mauve and pink / Bruce Stewart / Australian governing powers / Old and New Parliament Houses [where Australian law made] / Queen Elizabeth II [monarch of Australia] / 2001 special edition / celebration of Centenary of Federation / mauve and pink / Garry Emery / Federation, people that have shaped our nation / Sir Henry Parkes [father of Federation] and Catherine Helen Spence [first woman to stand for election to public office]
- \$10** 1993 / Durability / Blue, green and yellow / Max Robinson / Australian writers / A.B. 'Banjo' Paterson [poet, balladeer, writer and journalist], Dame Mary Gilmore [author, journalist, poet and campaigner]
- \$20** 1994 / Durability / Red, orange and black / Garry Emery / Pioneers / Mary Reibey [shipping and property interests] / Reverend John Flynn [pioneered world's first aerial medical service]
- \$50** 1995 / Durability / Yellow and blue / Brian Sadgrove / Recognition of Australians' achievements / David Unaipon [Aboriginal inventor and author] / Edith Cowan [first woman member of an Australian parliament]
- \$100** 1996 / Durability / Yellow and green / Bruce Stewart / Recognition of Australians' achievements / Dame Nellie Melba [soprano opera singer] / Sir John Monash [politician, administrator and engineer]

10 Automatic teller machines

Activity 1

- 1 When directly in front of the ATM take your plastic card out of your wallet. 2 Adjust the viewing position up or down to see the instructions. 3 Insert your plastic card in the slot labelled **insert ATM Card**. 4 Read the instructions and follow the prompts. The first instruction is to enter your PIN. 5 Press the instruction buttons **withdraw cash**, from **savings account** and enter the amount of **\$100**. 6 If the information you have entered is correct, press the OK button. 7 Wait for approximately 30 seconds and your plastic card will reappear, followed by the requested cash and receipt (place plastic card, cash and receipt in your wallet).

Activity 2

- 1 c 2 a 3 a 4 b 5 c

Extension questions

- 6 EFTPOS, Internet and telephone banking 7 Discuss advantages with students. Discussion could include: it is time-efficient and convenient. 8 Disadvantages for employees include less need for staff and down-sizing due to automation of tasks.

12 Saving money

Activity 1

- 1 4 weeks 2 19 weeks 3 a 3 weeks b 5 weeks 4 40 weeks 5 22 weeks 6 a \$150 b \$75

13 Depositing money into a bank account

Activity 3

AREA OF CONCERN	EXPLANATION
1. Using the correct deposit slip when banking money and cheques	• To ensure that the money and cheques are deposited into the correct account
2. Filling in the correct BSB number	• To ensure that the money and cheques are deposited in the correct account
3. Filling in the correct account name	• To ensure that the money and cheques are deposited in the correct bank account
4. Making sure that the information relating to the cheques on the reverse side of the deposit slip is correct	• So that if a concern is raised over cheques or amounts of money being deposited, the account holder and bank has the correct details
5. Making sure that the name of the bank branch matches the BSB number	• So as to ensure that the money and cheques are deposited into the correct account and no mistake has been made

14 Needs and wants vs goods and services

- 1 a an item that is essential for survival b an item that is not essential for survival; a luxury item c an item that can be purchased by a consumer; it is tangible d an action or an activity that can be purchased by a consumer; it is intangible e an item that is solely for personal use f an item that has to be purchased so that the original item can function properly g a service/good that is used by the community 2 The major difference between a good and a service is that a good is tangible and a service is intangible.

15 Bankruptcy

Activity 1

Example 1 \$1319, no Example 2 \$4485, yes

Activity 2

- 1 The word 'bankruptcy' refers to a financial situation where there is legal recognition that a person/business is no longer able to pay their debts (i.e. there is money owing). 2 Bankruptcy Act 1966 3 \$1500 4 A debtor is a person/business that owes money (i.e. is in debt), whereas a creditor is the person/business to whom/which the money is owed. 5 a debtor and a creditor 6 six months 7 The official takes control of the debtor's assets. In order to make payments to creditors, the official can convert the debtor's assets into cash. 8 a false b true c false d false e true

Activity 3

- 1 A person may develop a poor spending habit and does not keep a record of money owed.
- 2 The debtor is made aware that more than \$1500 is owed.
- 3 The debtor, having been notified of outstanding debts, explores all the options for making payments to creditors.
- 4 Unable to pay their debts, the debtor files for bankruptcy.
- 5 Six months later, the debtor's financial state is made legal.
- 6 The debtor's assets are sold to pay outstanding debts.

Activity 4

- 1 Marija has clearly shown that she is unable to pay her outstanding debts. The bank manager would generally not grant Marija the loan until she could prove that she is able to control her finances. Marija also needs to find a steady job.
- 2 Ricky has clearly shown that he is able to control his finances. The bank manager would generally grant Ricky the loan as he has proven that he can control his finances. He has a credit rating with two past loans.
- 3 Mary-Ellen has clearly shown that she is able to control her finances. She is only taking out a small loan and the bank manager would generally grant it.

16 Characteristics of money

Activity 1

- 1 true
- 2 true
- 3 true
- 4 true
- 5 true

Activity 2

- a divisible: The different denominations of money allow a person to buy an inexpensive good. The different denominations of money allow a person to buy an expensive good.
- b portable: \$2 can be carried around in a wallet. \$100 can be carried around in a wallet.
- c durable: Polymer (plastic) money lasts for approximately 40 months. Paper money is no longer used in Australia because it did not last for an extended period of time.
- d scarce: Money only holds value if it is in limited supply. If money is printed to overcome a money shortage, inflation may occur.
- e acceptable: Trade will not occur if an incorrect money unit is used. All people involved in trading products, worldwide, must agree that the money unit is acceptable.

Extension questions

- 4 The Federal Government and the Australian Mint decided that the expense of producing the coins outweighed their usefulness and that the price of goods and services could be rounded up to sums of 5 cents, therefore eliminating the need for 1 and 2 cent pieces.
- 5 Polymer has greater durability than paper (40 months compared to 6 months).
- 6 \$1 and \$2 notes were changed to coins to increase durability. Also, people's regular use of these denominations led advisors to believe that a coin was a more convenient option given the variety of polymer notes that already existed.

17 Case study: Choice

Activity 1

- 1 Choice
- 2 Australia, NSW, Marrickville
- 3 eleven
- 4 'Choice Regulars' (letters) allows consumers to write to **Choice** magazine and voice their opinion on a certain product. 'Choice Reports' includes specialised reports on particular products to inform the consumer. 'Choice Tests' presents information on a variety of products that have been tested by **Choice** employees.

Extension questions

- 5 **Choice** magazine was established to provide consumers with unbiased information on products from a range of suppliers. The information published allows consumers to make informed decisions on what product to purchase without pressure from sales representatives. It may therefore save them money and also provides them with the convenience of making a decision without having to travel to various stores to compare the cost and features of each brand.
- 6 The claim is based on the independence of **Choice's** product information. They do not receive funding from any particular group or organisation and their editorial content therefore remains unbiased.

18 Foreign currency

Activity 1

- 1 currencies of other countries
- 2 travel and trade
- 3 difficult to purchase products (goods and services)

Activity 2

- 1 Austria (schilling), Belgium (franc), Italy (lira), France (franc), Spain (peseta)
- 2 Indonesia (rupiah), Thailand (baht), Japan (yen), India (rupee), Vietnam (dong), New Zealand (NZ dollar)
- 3 a South Africa (rand) b Switzerland (franc) c England (pound) d Papua New Guinea (kina) e Spain (peseta) f Portugal (escudo) g United States (\$US dollar) h Greece (drachma) i Saudi Arabia (riyal) j Australia (\$A dollar)

Activity 3

- 2 15 May 2000
- 3 18 May 2000
- 4 A reason for a decrease in the value of the Australian dollar would be that other countries do not want to purchase the Australian dollar (demand has decreased).
- 5 A reason for an increase in the value of the Australian dollar would be that other countries want to purchase the Australian dollar (demand has increased).

Extension questions

- 6 Euro currency is a single unit of currency to be used by member states participating in the Euro area. 7 1 January 2002
8 The eleven member states include: Belgium, Germany, Ireland, Spain, France, Italy, Luxembourg, Netherlands, Austria, Portugal and Finland. 9 The reasoning behind the Euro is to promote trade by reducing trade barriers between member states.

19 Tax File Number

Activity 1

- 1 Australian Taxation Office, Tax File Number 2 1989 3 federal 4 individual, partnership, company, trust, superannuation fund
5 A tax file number is required when filling out an employment declaration form. 6 applying for certain income assistance or Support payments, studying at a tertiary institution and you wish to defer payment under the Higher Education Contribution Scheme (HECS), having savings accounts or investments that earn income (e.g. dividends and interest) 7 The processing of the tax return may take longer than expected and therefore any tax refund may be slow in coming. 8 false 9 So a person can identify themselves correctly and there is no risk that they are posing as someone else.

Activity 2

- 1 a Assessable income: Gross income including salary and wages, dividends, interest and rent before any deductions are allowed. Assessable income also includes net capital gains, and other amounts that are not ordinarily classed as income. b Deductions: Money you spend to enable you to earn income—allowable deductions only—such as stationery, equipment, rent, electricity, telephone and tools. The value of the deduction is subtracted from assessable income to calculate your taxable income. c & d Various rebates (refunds) and credits on taxes are available for people working in specific industries (eg fuel rebate for transport workers), or those with dependents or people on pensions.
2 It is important that these rules are followed as they will facilitate the quick and fair processing of tax returns. A person who does not follow these instructions may also be prosecuted for making false claims.
3 Records should be kept in case a person is audited by the tax office. Complete records would ensure that all rebates, credits and deductions can be verified through documents supplied.

20 Product Information

Activity 2

- 1 To increase their own profits. Sell along side other brand names to offer consumers a wide choice of product.
2 Yes, goods under the brand name of the supermarket are usually cheaper.
3 Less money is spent on marketing the good, packaging design and labelling is cheaper, they purchase products at a lower price.
4 a \$1.68 b \$1.43 c Coffee B (500g) is cheaper as it has a lower cost per hundred grams d 200g – \$1.89, 400g – \$1.77 e The 400g pack is better value for money f From least expensive to most expensive – pasta A (600g) 80 cents, pasta A (375g) 90 cents, pasta B (600g) 99 cents, pasta B (375g) \$1.28.
5 Differing costs in production, advertising/promotion, design, imported goods, costs in transit. Fruit and vegetables may differ in price due to quality, shipping costs, high demand and limited supply.
6 By evaluating a unit cost for goods it is possible to save substantial amounts of money in weekly shopping.

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